Nepal was not Sikkim, which had no possibility of becoming more independent of India in how it conducted its foreign policy. Nor was it Bhutan, which played its cards more skilfully, managing to build its own identity without antagonizing its powerful southern neighbour. Nepal was beginning to become a pawn in the regional power struggle between India and China.

Not even the presence of Tibetan guerrillas, supported by the CIA, in Mustang seemed to have an adverse effect on the newly established friendly relations between the communist rulers in Beijing and the royal court in Kathmandu. King Birendra visited China in December 1973, and it was the cosy relationship that Nepal established with China in the 1960s and early 1970s that led its army to force out the Tibetan resistance from their Mustang sanctuaries in 1974. In the same year, Nepal fiercely criticized the Indian parliament's decision to make Sikkim an associate state, calling India 'an expansionist nation'.[26] The Chinese awarded Nepal with more road construction projects and, in April 1976, a trade agreement was made between Nepal and 'China's Tibet Autonomous Region'.[27]

China continued to have close relations with whoever was in power in Kathmandu, even during the upheavals of 1990 and the chaos that ensued after the abolishment of absolute monarchy. The situation in Nepal went from bad to worse when, on 1 June 2001, Crown Prince Dipendra stormed into the Narayanhiti palace in Kathmandu and opened fire on a monthly reunion dinner of the royal family. Nine members of the family were killed in the shooting, including Dipendra's parents, King Birendra and Queen Aishwarya, his brother Nirajan, his sister Shruti, and five other relatives. Dipendra then turned the gun on himself, survived and was king for a few days before he, comatose and in hospital, succumbed to his injuries on 4 June. Mahendra's son and Birendra's younger brother Gyanendra was proclaimed king.

Various conspiracy theories flourished in Kathmandu after the royal massacre, including fanciful accounts of Indian and even CIA involvement, but there is nothing to indicate that Dipendra was driven by anything but personal grudges against his family.[28] He was also heavily drunk and high on hashish when he grabbed a gun and killed those relatives. Dipendra had wanted to marry Devyani Rana, from the Rana family, who was also related to the Gwalior royal family in India, but his mother, Queen